Brokerage Compliance Review

June 6, 2026

Contract Property Address: 4659 Laurel Street, Atlanta, Georgia 30319
Seller: Atlanta Homes LLC/ Buyer: Sally Drake
Binding Agreement Date: May 16, 2026

1. Transaction Paperwork Review

The above-referenced transaction includes the following non-compliant items:

- The financing contingency does not specify an interest rate for the proposed loan terms. It includes a method for calculating the loan amount (80% of $1,000,000) and the loan term (30 years), but does not specify the interest rate as an explicit number or interest rate range.
    - According to Georgia Real Estate Commission, when the buyer is obtaining a third-party loan: "the buyer should make the contract contingent upon approval of the loan. When the offer and the contract mention the loan, the Georgia courts have ruled that the contract must set out the terms of the loan in a “definite and complete” manner."

      "The requirement for setting out the terms of the loan involves clear statements of the amount of the loan, the interest rate and period for the application of that interest rate (e.g., percent per annum), and the term of the loan. The interest rate and the term of the loan can be ranges, upper limits or explicit numbers."
    - The transaction file does not contain an amendment adding the interest rate.
- The contract is missing a checkbox selection for whether the buyer does or does not have real property to sell, lease, or close on in order to complete the purchase.
    - The transaction file does not contain an amendment indicating the selection.
- The time limit section contains a drafting error because the month and day were entered in the wrong blanks. The month (“May”) is written in the blank where the day (“16”) should be written, and the day (“16”) is written in the blank where the month (“May”) should be written.
    - The transaction file does not contain an amendment correcting the error.

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2. Earnest Money Dispute

The buyer terminated the contract, and the parties dispute entitlement to the $5,000 earnest money deposit. Under paragraph 4.B(4), the buyer was required to provide written notice no later than May 30, 2026, if the buyer was unable to qualify for the loan.

On May 30, 2026, the buyer delivered a unilateral termination notice and a loan denial letter from American Mortgage, a seller-approved lender listed in the contract. The termination notice does not identify the specific basis for the financing contingency claim and must be evaluated together with the lender denial letter and other transaction documents.

The lender's denial letter states that the buyer's loan application to American Mortgage was denied because the buyer's debt-to-income ratio did not meet the lender's guidelines. However, the denial letter does not establish that the buyer was unable to obtain the loan for a reason that would entitle the buyer to a refund of the earnest money deposit. Furthermore, the Loan Approval (Exhibit A) was issued by American Mortgage, a seller-approved lender listed in the contract.

The contract expressly states that failure to sell, lease, or close on another property is not grounds for refund of earnest money in the event of loan denial. The transaction file further indicates that the buyer's continued mortgage obligation on another property resulted in the debt-to-income issue that led to the loan denial. Specifically, the buyer's agent, Rachel David, sent an email to the listing agent, Christine James, on May 30, 2026, stating, "My buyers really loved the home and are so disappointed it did not work out to include their existing mortgage payment".

Based on the lender denial letter, the buyer's agent's email, and the contract language addressing a buyer's failure to sell, lease, or close on another property, the buyer has not established a contractual basis for the return of the earnest money deposit.

Accordingly, the seller is entitled to the earnest money deposit pursuant to Paragraph 5(7) of the contract. The Broker will issue the required notification of the earnest money disbursement, identifying the seller as the proposed recipient of the funds, and will allow the contractual 12-day objection period to expire before dispersing the earnest money.

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3. Earnest Money Disbursement Notification Draft

June 6, 2026

Notice of Proposed Earnest Money Disbursement

Property: 4659 Laurel Street, Atlanta, GA 30319

Earnest Money Amount: $5,000

To: Sally Drake (Buyer), Rachel David (Buyer's Agent), David Johnson of Atlanta Homes LLC (Seller), and Christine James (Seller's Agent)

Pursuant to Paragraph 5(7) of the Purchase and Sale Agreement and Georgia Real Estate Commission Rule 520-1-.08(3)(c), the Broker has reviewed the transaction documents and proposes to disburse the $5,000 earnest money deposit to the Seller, Atlanta Homes LLC.

The Broker's basis for the proposed disbursement is that the buyer's loan application was denied due to a debt-to-income ratio issue. The transaction file indicates that the debt-to-income issue resulted from the buyer's continued mortgage obligation on another property. The Purchase and Sale Agreement expressly provides that the failure to sell, lease, or close on another property is not grounds for a refund of earnest money in the event of a loan denial. Accordingly, the Broker has made a reasonable interpretation of the contract that the Seller is entitled to the earnest money deposit.

Any party objecting to this proposed disbursement must provide written notice of objection to the Broker within twelve (12) days of receipt of this notice. If no written objection is received within the contractual objection period, the Broker will disburse the earnest money as stated above.

Door Realty Broker